7.8.7 Shares issued at premium

When a company issues shares at a price more than the face value (nominal value), the shares are said to be issued at premium. The excess is called as premium amount and is transferred to securities premium account. The amount of securities premium may be included in application money or allotment money or in a call. Securities premium account is shown under reserves and surplus as a separate head in the Note to Accounts to the balance sheet.
Following are the journal entries for recording securities premium:

Date	Particulars	L.F.	Debit ₹	Credit ₹
	(i) If premium is collected with application money			
	(a) For receiving application money (application money + premium)			
	Bank A/c Dr.		xxx	
	To Equity share application A/c			xxx
	(b) For transfer of application money			
	Equity share application A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	To Securities premium A/c			xxx
	(ii) If premium is collected with allotment money/call money			
	(a) For allotment/ call money due (allotment/call money + premium)			
	Equity share allotment/call A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	To Securities premium A/c			xxx
	(b) For receiving allotment/call money			
	Bank A/c Dr.		xxx	
	To Equity share allotment/call A/c			xxx
	(iii) When shares are forfeited (for which premium is not received)			
	Equity share capital A/c Dr.		xxx	
	Securities premium A/c Dr.		xxx	
	To Equity share allotment A/c			xxx
	To Equity share call A/c			xxx
	To Forfeited shares A/c			xxx

Tutorial note While forfeiting shares for which premium had already been received, securities premium account should not be debited.

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